

August 13, 2026 07:00 AM GMT

Coherent Corp | North America

In Control of Supply Destiny

WHAT'S CHANGED

Coherent Corp (COHR.N)	From	To
Price Target	\$330.00	\$375.00

AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis	↑ Meaningful upside Financial results versus consensus	↑ Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

COHR's FQ4 GMs largely played out as previewed, but the co is ramping supply faster than expected. Even as GMs ramp largely to plan, EPS move meaningfully higher on increased supply/ healthy incrementals. Recent rebound post FCC reports largely captures value until more NPO orders/timing clarity.

Key Takeaways

- COHR's capacity is ramping quicker than expected, with datacomm business up 24% Q/Q; drives top-line estimates up further
- While gross margin leverage remains about on par with last quarter, incremental operating margins showing upside
- While InP capacity remains a gating item, the company is seeing that as the major bottleneck as other businesses ramp
- Val'n rebound around potential FCC rules and competitor results largely capture opportunity for now, next leg of growth if more detail around NPO opportunity

Ramping capacity faster than expected, but quarter largely plays out as previewed. We were positively inclined into the print given COHR had been vocal during the quarter about 6" capacity coming online, helping margin structure given 4x the output at 50% of the cost. While gross margin step-up was largely in line with last quarter, revenue was materially higher, helping with healthy incremental margins. Company messaging about few bottlenecks other than its own InP capacity, across multiple ramps, was encouraging and causes us to raise revenue / EPS materially, even as gross margin progression largely stays the same (as increases in transceiver volumes dampen GMs). Overall, given the recovery in the shares prior to the quarter on reports of FCC plans to limit China supply of transceivers, and competitive earnings, we think the next catalyst for the stock remains more clarity on NPO engagements / orders / timing, something we could see later this year. We walked away encouraged on ramp, but not seeing buy-side expectations moving materially higher, limiting stock move in the near term.

Notable highlights from the quarter:

- **Capacity ramping across multiple categories.** COHR is running one quarter

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Coherent Corp (COHR.N, COHR US)

Telecom & Networking Equipment | United States of America

Stock Rating	Equal-weight
Industry View	In-Line
Price target	\$375.00
Shr price, close (Aug 12, 2026)	\$355.64
Mkt cap, curr (mm)	\$76,710
52-Week Range	\$440.00-84.43

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS (\$)**	5.61	9.24	13.29	16.74
Prior EPS (\$)**	5.49	8.12	11.74	-
EPS (\$)	5.46	8.34	12.66	19.95
P/E	85.4	42.9	28.8	22.5
ModelWare EPS (\$)	4.62	8.29	12.35	15.82
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	1.16	1.79	1.96	2.55	2.94
Q2	1.29	1.92	2.18	2.81	3.22
Q3	1.41	2.09	2.42	3.11	3.52
Q4	1.74	2.31	2.67	3.25	3.58

e = Morgan Stanley Research estimates

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ahead of plans to double InP capacity Y/Y, remaining committed to doubling again in 2027. This is largely as 6" capacity has come online faster than expected. OCS continues to ramp, with few ramping challenges given control of supply chain. CPO timing remains intact with prior communication. This helped the company post a third quarter of double-digit data center growth (24% Q/Q, 66% Y/Y).

- **LTAs given sense of pricing, removing an overhang on the space.** While recovery in the stock over the past couple of weeks around potential FCC rules already dissipated some of the concerns about laser supply coming online out of Asia, the company noted that its LTAs almost always dictate not just volume, but pricing. With LTAs covering much of the next three years, the company believes it has more visibility on margins than the market was giving it credit for a couple of weeks back.
- **Lots of engagements about NPO, more to come on full systems at ECOC.** COHR has seen a significant increase in NPO/CPO engagements over the past 3–6 months. Management sees comparable content opportunity across NPO and CPO, but final plans of customers are still in flux. For customers who want more of a pre-assembled solution, the company plans to introduce PHOTONLINK at ECOC, which helps bring together a full system for CPO.

Revising estimates to better reflect capacity expansion; incrementals. COHR's FQ4 revenue / non-GAAP gross margins / EPS were \$2,050mm / 40.2% / \$1.74 vs. expectations of \$1,987mm / 40.0% / \$1.62, driven by continued strength in AI data center and communications. Upside was driven by accelerating data center demand, including 800G / 1.6T transceivers and increasing InP capacity, while margin expansion reflected lower input costs, improved manufacturing yields and efficiencies from the 6-inch InP ramp, as well as pricing optimization. Looking forward, management expects growth to accelerate meaningfully in FY27, with quarterly revenue exceeding \$3bn by FQ4, supported by continued 800G growth, a faster-than-expected 1.6T ramp, OCS, CPO beginning in FQ2, and multi-rail. Our revised FQ1 / FY27 revenue / non-GAAP EPS estimates move to \$2.3bn / \$1.96 and \$10.55bn / \$9.24 vs. \$2.12bn / \$1.77 and \$9.46bn / \$8.14 previously.

Remain EW COHR, PT to \$375 (from \$330). We are raising our PT as we reflect higher earnings power from contributions of OCS / CPO / transceivers as capacity ramps and incremental margins remain healthy. Our \$375 PT represents 28x our FY28e earnings power of ~\$13.3 (from \$11.5), growing margin leverage as capacity comes online (and higher demand for CPO / OCS). Our multiple is above the historical average trading range given AI exposure. Our bear case valuation of \$200 (from \$160) reflects 16x our FY28e bear case earnings power of ~\$12 (from \$10). Our bull case valuation of \$540 (from \$450) reflects ~30x our CY28e bull case earnings power of ~\$18 (from ~\$15), which continues to reflect share gains in datacomm. Biggest risk to our PT is a turn in AI ecosystem valuations and EML constraints.

Analysis

Exhibit 1: Estimate Changes

(\$ millions, except per share data)												
	2025A	Y/Y (%)	Q1-26A	Q2-26A	Q3-26A	Q4-26A	2026A	Y/Y (%)	2027E	Y/Y (%)	2028E	Y/Y (%)
New Revenue	\$5,810.1	23%	\$1,581.4	\$1,685.6	\$1,805.6	\$2,045.5	\$7,118.1	23%	\$10,554.2	48%	\$14,267.4	35%
Old Revenue	\$5,810.1	23%	\$1,581.4	\$1,685.6	\$1,805.6	\$1,987.3	\$7,059.9	22%	\$9,438.4	34%	\$12,863.1	36%
% Change			0%	0%	0%	3%	1%		12%		11%	
New Gross Profit	\$2,202.2	36%	\$612.6	\$657.1	\$714.2	\$822.6	\$2,806.5	27%	\$4,304.0	53%	\$5,921.1	38%
New Gross Margin	38%		39%	39%	40%	40%	39%		41%		42%	
Old Gross Profit	\$2,202.2	36%	\$612.6	\$657.1	\$714.2	\$794.9	\$2,778.8	26%	\$3,821.9	38%	\$5,312.2	39%
Old Gross Margin	38%		39%	39%	40%	40%	39%		40%		41%	
% Change			0%	0%	0%	3%	1%		13%		11%	
New Operating Income	\$1,036.9	68%	\$308.9	\$336.0	\$366.1	\$445.8	\$1,456.8	40%	\$2,498.4	71%	\$3,768.2	51%
New Operating Margin	18%		20%	20%	20%	22%	20%		24%		26%	
Old Operating Income	\$1,036.9	68%	\$308.9	\$336.0	\$366.1	\$424.8	\$1,435.8	38%	\$2,126.3	48%	\$3,109.1	46%
Old Operating Margin	18%		20%	20%	20%	21%	20%		23%		24%	
% Change			0%	0%	0%	5%	1%		18%		21%	
New Adjusted EPS	\$3.54	191%	\$1.16	\$1.29	\$1.41	\$1.74	\$5.61	59%	\$9.24	65%	\$13.29	44%
Old Adjusted EPS	\$3.54	191%	\$1.16	\$1.29	\$1.41	\$1.62	\$5.49	55%	\$8.12	48%	\$11.74	45%
% Change			0%	0%	0%	7%	2%		14%		13%	

Source: Company data, Morgan Stanley Research estimates

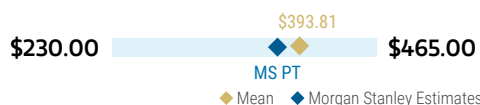
Risk Reward – Coherent Corp (COHR.N)

Street Building In Material Margin Improvement as Capacity Comes Online

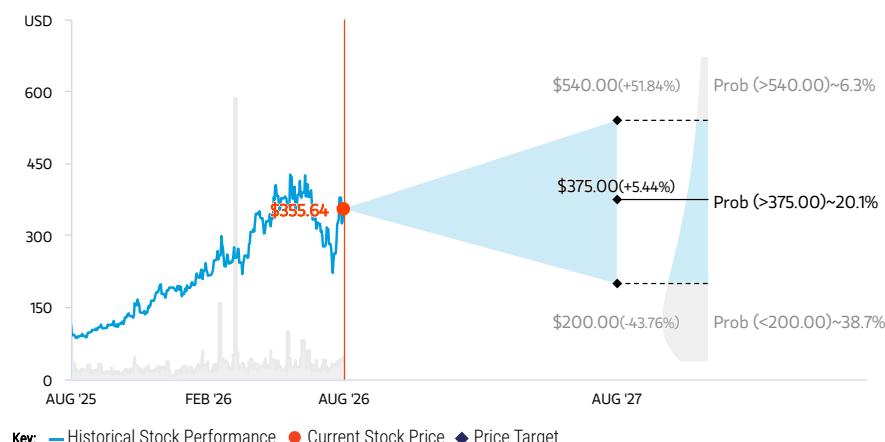
PRICE TARGET \$375.00

~28x Base FY28e EPS (~\$13.3). Multiple trades at premium to historical trading range given AI exposure, trading more in-line with AI comps.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

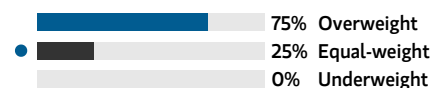


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 12 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Near-term AI/ML opportunity and potential earnings optionality as net interest expense is worked down
- Valuation reflects volatility in end demand, particularly against more challenging Analyst Day targets
- Several levers to improve earnings power, including gross margin improvements and debt reduction
- Believe in longer term growth opportunity given attractive focus on differentiated processes and diversified customer base, with meaningful exposure to AI opportunity

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
 Secular Growth: *Positive*
 Special Situation: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$540.00

~30x Bull Case CY28 Earnings Power of (~\$18)

Multiple sees expansion if company able to gain share in datacomm; expand margins north of 42%. EPS power accounts for COHR executing on self-help story, and able to raise operating margins on the business. Able to participate more meaningfully in CPO / OCS.

BASE CASE

\$375.00

~28x Base Case FY28 Earnings Power of ~\$13.30

Spending trajectory healthy, multiple remains elevated given more confidence in margins. Getting credit for growth trajectory as InP capacity ramps. Partial credit for CPO / OCS business ramps. Earnings power closer to ~\$13.3 and multiple trades at a premium to historical trading levels given AI exposure.

BEAR CASE

\$200.00

16x Bear Case FY28 EPS of ~\$12

See deterioration in pricing as too much capacity comes along. COHR is unable to execute on vision laid out at Analyst Day, limiting changes to interest expense or margin profile. Little earnings growth from FY27, causing multiple to trade slightly above 5-year minimums on the name.

Risk Reward – Coherent Corp (COHR.N)

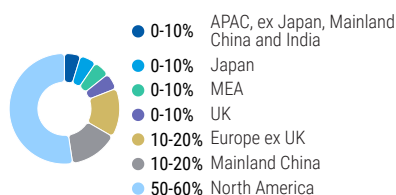
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
Revenue Growth Y/Y (%)	22.5	48.3	35.2	26.8
Gross Margin (%)	39.4	40.8	41.5	42.1
Operating Margin (%)	20.5	23.7	26.4	27.6
Net Debt / EBITDA	2.89	1.52	1.02	0.80

INVESTMENT DRIVERS

- What is the risk of China insourcing?
- Can 3D sensing still be an attractive market for COHR?
- Can COHR get larger than expected synergies out of Coherent?
- Can datacomm components capture outsized opportunity with AI?

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Pricing increases help gross margins
- 1.6T AI opportunity ramps faster than expected, benefitting margins
- Recovery in non-datacomm portions of business
- CPO / NPO ramps quicker than expected

RISKS TO DOWNSIDE

- CPO / NPO delayed
- AI build out pause
- Competitive pressures in datacomm

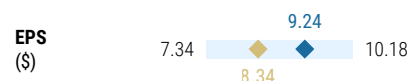
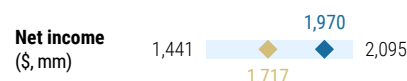
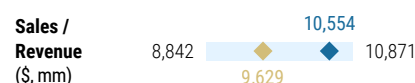
OWNERSHIP POSITIONING

Inst. Owners, % Active	57%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	33.6%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 2: COHR: Income Statement

	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	Mar-29	Jun-29	FY	FY	FY	FY	FY	FY	FY
	Q1-26A	Q2-26A	Q3-26A	Q4-26A	Q1-27E	Q2-27E	Q3-27E	Q4-27E	Q1-28E	Q2-28E	Q3-28E	Q4-28E	Q1-29E	Q2-29E	Q3-29E	Q4-29E	2023A	2024A	2025A	2026A	2027E	2028E	2029E
Net Sales	1,881.4	1,685.6	1,805.6	2,045.5	2,301.9	2,522.9	2,745.8	2,983.6	3,234.0	3,482.7	3,736.9	3,823.9	4,025.7	4,335.5	4,742.3	4,987.2	5,160.2	4,707.7	5,810.1	7,118.1	10,554.2	14,267.4	18,090.8
% chg q/q	3.4%	6.6%	7.1%	13.3%	12.5%	9.6%	8.8%	8.7%	8.1%	8.0%	7.3%	2.3%	5.3%	7.7%	9.4%	5.2%							
% chg y/y	17.3%	17.5%	20.5%	33.7%	45.6%	49.7%	52.1%	45.9%	40.1%	38.0%	36.1%	28.2%	24.9%	24.5%	26.9%	30.4%	55.6%	-8.8%	23.4%	22.5%	48.3%	35.2%	26.8%
Cost of Sales	988.8	1,028.5	1,091.4	1,222.9	1,370.3	1,497.2	1,624.0	1,758.7	1,893.9	2,042.5	2,183.6	2,226.4	2,335.8	2,511.4	2,742.3	2,879.4	3,176.1	3,092.7	3,607.9	4,311.6	6,250.2	8,346.4	10,468.9
Total Gross Profit	612.6	657.1	714.2	822.6	931.7	1,025.6	1,121.9	1,224.9	1,330.1	1,440.2	1,553.3	1,597.5	1,689.9	1,824.2	2,000.1	2,107.8	1,984.1	1,615.0	2,202.2	2,806.5	4,304.0	5,921.1	7,621.9
Total Gross Margin	38.7%	39.0%	39.6%	40.2%	40.5%	40.7%	40.9%	41.1%	41.3%	41.4%	41.6%	41.8%	42.0%	42.1%	42.2%	42.3%	38.4%	34.3%	37.9%	39.4%	40.8%	41.5%	42.1%
Internal R&D Expense	147.9	158.8	178.4	208.3	204.9	227.1	247.1	268.5	277.3	303.0	325.1	332.7	334.1	364.2	398.4	418.9	473.4	451.8	554.3	693.4	947.6	1,238.0	1,515.6
SG&A Expense	155.8	162.3	169.7	168.5	204.2	212.6	218.6	222.7	232.8	228.8	224.8	228.5	256.9	269.5	288.1	296.5	544.2	544.8	611.0	656.3	858.1	914.8	1,111.1
Total Op Expenses	303.7	321.1	348.1	376.8	409.1	439.6	465.7	491.2	510.0	531.8	549.9	561.2	591.1	633.7	686.5	715.4	1,017.6	996.6	1,165.3	1,349.7	1,805.6	2,152.9	2,626.7
Operating Income	308.9	336.0	366.1	445.8	522.6	586.0	656.2	733.7	820.1	908.4	1,003.4	1,036.4	1,098.8	1,190.4	1,313.6	1,392.4	966.5	618.4	1,036.9	1,456.8	2,498.4	3,768.2	4,995.2
Total Operating Margin	19.5%	19.9%	20.3%	21.8%	22.7%	23.2%	23.9%	24.6%	25.4%	26.1%	26.9%	27.1%	27.3%	27.5%	27.7%	27.9%	18.7%	13.1%	17.8%	20.5%	23.7%	26.4%	27.6%
Interest expense	(58.7)	(45.9)	(44.6)	(41.1)	(42.4)	(39.4)	(36.5)	(33.5)	(31.8)	(28.7)	(25.7)	(22.6)	(19.6)	(16.5)	(13.5)	(10.4)	(286.9)	(288.5)	(243.2)	(190.3)	(151.8)	(108.8)	(59.9)
Other income (expense)	22.2	15.6	18.7	27.8	20.0	22.0	22.0	22.0	22.8	24.6	25.7	27.3	30.0	32.0	34.0	35.0	13.9	58.7	82.8	84.4	86.0	100.3	131.0
Income Before Taxes	272.4	305.7	340.2	432.6	500.2	566.5	641.7	722.2	811.1	904.2	1,003.4	1,041.0	1,109.3	1,205.9	1,334.1	1,417.0	693.5	388.6	876.5	1,350.9	2,432.6	3,759.7	5,066.3
Effective Tax Rate	18.9%	18.8%	19.0%	18.8%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	18.2%	20.0%	21.0%	18.8%	19.0%	19.0%	19.0%
Income Tax Provision	51.5	57.5	64.0	81.4	95.0	108.0	121.9	137.2	154.1	171.8	190.7	197.8	210.8	229.1	253.5	269.2	126.0	77.8	184.0	254.4	462.2	714.3	952.6
Pro Forma Net Income to Common	220.9	248.2	276.2	351.2	405.1	460.5	519.8	585.0	657.0	732.4	812.8	843.2	898.5	976.8	1,080.7	1,147.7	567.6	310.8	692.5	1,096.5	1,970.4	3,045.3	4,103.7
Basic Shares Outstanding	156.2	167.5	190.2	195.7	200.7	204.7	208.7	212.7	216.7	220.7	224.7	228.7	232.7	236.7	240.7	244.7	137.6	151.6	154.8	177.4	206.7	222.7	238.7
Fully Diluted Shares Outstanding	190.7	192.8	196.4	202.2	207.2	211.2	215.2	219.2	223.2	227.2	231.2	235.2	239.2	243.2	247.2	251.2	146.6	154.3	159.2	195.5	213.2	229.2	245.2
Fully Diluted Shares Outstanding GAAP	156.2	167.5	190.2	195.7	200.7	204.7	208.7	212.7	216.7	220.7	224.7	228.7	232.7	236.7	240.7	244.7							
Fully Diluted Shares Outstanding Non-GAAP	190.7	192.8	196.4	202.2	207.2	211.2	215.2	219.2	223.2	227.2	231.2	235.2	239.2	243.2	247.2	251.2							
Change	0.5	0.5	3.0	5.6	5.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	21.1	7.7	5.0	36.3	17.7	16.0	16.0
Adjusted EPS	\$1.16	\$1.29	\$1.41	\$1.74	\$1.96	\$2.18	\$2.42	\$2.67	\$2.94	\$3.22	\$3.52	\$3.58	\$3.76	\$4.02	\$4.37	\$4.57	\$2.99	\$1.21	\$3.54	\$5.61	\$9.24	\$13.29	\$16.74
GAAP EPS	\$1.19	\$0.76	\$0.97	\$1.19	\$1.38	\$1.62	\$1.84	\$2.08	\$2.40	\$2.69	\$2.96	\$3.03	\$3.24	\$3.51	\$3.84	\$4.04	(\$1.80)	(\$1.81)	(\$0.53)	\$4.11	\$6.92	\$11.08	\$14.83

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: COHR: Revenue Breakdown

	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	FY	FY	FY	FY	FY	FY	FY		
	Q1-26A	Q2-26A	Q3-26A	Q4-26A	Q1-27E	Q2-27E	Q3-27E	Q4-27E	Q1-28E	Q2-28E	Q3-28E	Q4-28E	2023A	2024A	2025A	2026A	2027E	2028E	2029E		
Revenue By Segment																					
Materials / Compound Semiconductor													1349.8	1016.6	953.8	806.4	827.4	869.2	916.0		
SIC													203.2	239.9	192.9	116.7	99.4	99.4	99.4		
EUV													204.4	183.9	180.0	195.8	215.4	236.9	260.6		
3D sensing													413.6	117.0	91.3	94.6	89.8	85.3	81.1		
CO2 / Fiber Laser Components													240.0	199.7	196.3	223.4	248.3	273.2	300.5		
Other													85.9	82.9	75.4	149.9	174.4	174.4	174.4		
Networking / Photonic Solutions													2,341.0	2,295.8	3,421.3	4,900.8	8,291.5	11,919.7	15,652.0		
Total Transceiver / Datacomm																	3,985.3	6,262.2	8,220.8	9,689.0	
Total Telecom																	835.5	1,073.7	1,331.6	1,654.1	
OCS																	55.1	372.8	841.0	1,287.6	
CPO																	27.6	582.9	1,526.3	3,021.3	
Adjustment																	2.8	-	-	-	
Lasers / Legacy Cohort													1,469.4	1,395.4	1,435.0	1,411.0	1,435.4	1,478.4	1,522.8		
Total													5,160.2	4,707.7	5,810.1	7,118.1	10,554.2	14,267.4	18,090.8		
Materials													26%	22%	16%	11%	8%	6%	5%		
Networking													45%	49%	59%	69%	79%	84%	87%		
Lasers													28%	30%	25%	20%	14%	10%	8%		
Total													100%	100%	100%	100%	100%	100%	100%		
NEW SEGMENTATION																					
Datacenter & Communications																	3,756.0	5,274.6	8,714.2	12,367.3	16,126.9
Industrial																	2,054.0	1,844.0	1,840.0	1,900.1	1,963.9
Total																	5,810.0	7,118.7	10,554.2	14,267.4	18,090.8

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: COHR: Balance Sheet

	Sep-25 Q1-26A	Dec-25 Q2-26A	Mar-26 Q3-26A	Jun-26 Q4-26A	Sep-26 Q1-27E	Dec-26 Q2-27E	Mar-27 Q3-27E	Jun-27 Q4-27E	Sep-27 Q1-28E	Dec-27 Q2-28E	Mar-28 Q3-28E	Jun-28 Q4-28E
Assets												
Cash and cash equivalents	875.3	899.2	2,459.7	2,022.2	1,711.4	1,642.3	1,613.5	1,615.6	1,636.9	1,690.3	1,811.8	2,142.7
Accounts receivable, net	1,027.2	1,054.6	1,187.9	1,343.3	1,495.2	1,638.7	1,783.6	1,938.0	2,094.1	2,262.2	2,427.3	2,483.8
Inventories, net	1,632.6	1,847.9	2,126.8	2,581.0	2,309.1	2,523.1	2,736.7	2,963.8	3,191.6	3,442.0	3,679.7	3,751.9
Prepaid and refundable income taxes	44.8	44.1	45.5	78.9	88.8	97.3	105.9	115.1	124.4	134.3	144.1	147.5
Prepayments and other current assets	462.0	547.6	625.3	900.1	1,012.9	1,110.2	1,208.3	1,312.9	1,418.7	1,532.5	1,644.4	1,682.7
Others	-	-	-	-	-	-	-	-	-	-	-	-
Total current assets	4,041.9	4,393.4	6,445.2	6,925.5	6,617.5	7,011.6	7,447.9	7,945.4	8,465.6	9,061.3	9,707.3	10,208.5
Property, plant and equipment, net	1,944.4	2,117.0	2,420.1	2,999.3	3,149.2	3,317.2	3,503.0	3,707.5	3,962.9	4,239.9	4,537.5	4,836.6
Goodwill	4,474.8	4,462.8	4,402.4	4,375.6	4,375.6	4,375.6	4,375.6	4,375.6	4,375.6	4,375.6	4,375.6	4,375.6
Other intangible assets, net	3,133.2	3,064.1	2,958.2	2,884.5	2,812.8	2,741.1	2,669.4	2,597.6	2,525.9	2,454.2	2,382.5	2,310.8
Investment	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	53.9	69.1	72.1	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4
Other assets	1,050.6	981.4	988.7	1,045.6	1,045.6	1,045.6	1,045.6	1,045.6	1,045.6	1,045.6	1,045.6	1,045.6
Total Assets	14,698.8	15,087.8	17,286.7	18,299.9	18,070.0	18,560.5	19,110.9	19,741.1	20,445.0	21,246.0	22,117.9	22,846.5
Liabilities & Shareholders' Equity												
Current portion of long term debt	48.4	106.5	9.0	7.9	7.9	7.9	7.9	7.9	7.9	7.9	7.9	7.9
Accounts payable	953.9	1,118.5	1,343.4	1,905.4	1,349.2	1,474.2	1,599.0	1,731.7	1,864.8	2,011.1	2,150.0	2,192.2
Accrued compensation and benefits	-	-	-	-	-	-	-	-	-	-	-	-
Accrued income taxes payable	41.4	43.0	52.4	61.4	69.1	75.7	82.4	89.6	96.8	104.5	112.2	114.8
Other accrued liabilities	692.3	683.1	708.6	879.3	989.5	1,084.5	1,180.4	1,282.6	1,385.9	1,497.1	1,606.4	1,643.8
Others	-	-	-	-	-	-	-	-	-	-	-	-
Total current liabilities	1,736.0	1,951.1	2,113.4	2,854.0	2,415.7	2,642.3	2,869.7	3,111.7	3,355.3	3,620.6	3,876.4	3,958.6
Long term debt	3,259.4	3,245.4	3,184.8	3,214.3	3,081.4	2,956.4	2,831.4	2,706.4	2,581.4	2,456.4	2,331.4	2,206.4
Capital lease obligation	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income tax	629.5	643.3	605.8	540.6	540.6	540.6	540.6	540.6	540.6	540.6	540.6	540.6
Other liabilities	386.6	359.7	367.1	452.8	452.8	452.8	452.8	452.8	452.8	452.8	452.8	452.8
Total Liabilities	6,011.5	6,199.5	6,211.1	7,061.7	6,490.5	6,592.1	6,694.5	6,811.5	6,930.1	7,070.4	7,201.2	7,158.4
Preferred stock	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3	2,505.3
Common stock	5,118.7	5,118.7	5,118.7	5,118.7	5,165.7	5,212.5	5,265.6	5,322.2	5,371.5	5,420.7	5,476.5	5,535.9
Accumulated other comprehensive (loss) income	339.7	339.7	339.7	339.7	339.7	339.7	339.7	339.7	339.7	339.7	339.7	339.7
Retained earnings	777.2	978.2	3,105.5	3,328.1	3,622.5	3,964.5	4,359.4	4,816.1	5,352.1	5,963.6	6,648.9	7,360.9
Treasury Stock	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)	(53.7)
Total Shareholders' Equity	8,687.3	8,888.3	11,015.6	11,238.2	11,579.5	11,968.3	12,416.4	12,929.6	13,514.9	14,175.6	14,916.7	15,688.1
Total Liabilities and Shareholders' Equity	14,698.8	15,087.8	17,286.7	18,299.9	18,070.0	18,560.5	19,110.9	19,741.1	20,445.0	21,246.0	22,117.9	22,846.5

	FY 2023A	FY 2024A	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
833.3	1,100.0	918.1	2,022.2	1,615.6	2,142.7	2,918.6	
901.5	848.5	964.1	1,343.3	1,938.0	2,483.8	3,239.5	
1,272.3	1,286.4	1,437.6	2,581.0	2,963.8	3,751.9	4,852.3	
28.3	26.9	55.8	78.9	115.1	147.5	192.4	
216.5	398.2	551.6	900.1	1,312.9	1,682.7	2,194.6	
-	-	-	-	-	-	-	
3,252.0	3,660.1	3,927.2	6,925.5	7,945.4	10,208.5	13,397.3	
1,782.0	1,817.3	1,877.5	2,999.3	3,707.5	4,836.6	6,429.5	
4,512.7	4,464.3	4,471.1	4,375.6	4,375.6	4,375.6	4,375.6	
3,814.7	3,503.2	3,204.7	2,884.5	2,597.6	2,310.8	2,023.9	
-	-	-	-	-	-	-	
312.0	1,002.7	1,377.0	1,045.6	1,045.6	1,045.6	1,045.6	
13,711.1	14,488.6	14,910.9	18,299.9	19,741.1	22,846.5	27,341.4	
74.8	73.8	188.3	7.9	7.9	7.9	7.9	
405.3	631.5	847.0	1,905.4	1,731.7	2,192.2	2,835.1	
-	-	-	-	-	-	-	
38.3	40.6	41.6	61.4	89.6	114.8	149.7	
560.3	597.9	718.0	879.3	1,282.6	1,643.8	2,143.9	
-	-	-	-	-	-	-	
1,078.7	1,343.8	1,794.9	2,854.0	3,111.7	3,958.6	5,136.6	
4,235.0	4,026.4	3,498.6	3,214.3	2,706.4	2,206.4	1,706.4	
-	-	-	-	-	-	-	
780.3	784.4	711.7	540.6	540.6	540.6	540.6	
388.2	387.8	424.5	452.8	452.8	452.8	452.8	
6,482.2	6,542.4	6,429.7	7,061.7	6,811.5	7,158.4	7,836.4	
2,686.7	2,364.8	2,483.3	2,505.3	2,505.3	2,505.3	2,505.3	
3,781.2	4,857.7	5,644.5	5,118.7	5,322.2	5,535.9	5,760.2	
109.7	374.0	489.5	339.7	339.7	339.7	339.7	
944.4	664.9	650.2	3,328.1	4,816.1	7,360.9	10,953.4	
(293.1)	(315.1)	(786.3)	(53.7)	(53.7)	(53.7)	(53.7)	
7,229.0	7,948.3	8,481.2	11,238.2	12,929.6	15,688.1	19,505.0	
13,711.1	14,488.6	14,910.9	18,299.9	19,741.1	22,846.5	27,341.4	

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: COHR: Cash Flow Statement

	Sep-25 Q1-26A	Dec-25 Q2-26A	Mar-26 Q3-26A	Jun-26 Q4-26A	Sep-26 Q1-27E	Dec-26 Q2-27E	Mar-27 Q3-27E	Jun-27 Q4-27E	Sep-27 Q1-28E	Dec-27 Q2-28E	Mar-28 Q3-28E	Jun-28 Q4-28E
GAAP Cash Flow Statement												
OPERATING ACTIVITIES:												
Net Income (loss)	225.2	143.8	181.7	240.5	286.5	342.0	394.9	456.7	536.0	611.5	685.3	712.0
Depreciation	53.0	55.5	62.4	64.8	80.3	84.3	88.8	93.8	99.3	106.1	113.5	121.5
Amortization	69.4	70.5	70.5	71.7	71.7	71.7	71.7	71.7	71.7	71.7	71.7	71.7
Stock-based compensation	44.1	42.8	49.1	53.9	46.9	46.8	53.1	56.6	49.3	49.2	55.8	59.4
(Gain) loss on foreign currency remeasurements and translation	(4.2)	(4.3)	(1.7)	-	-	-	-	-	-	-	-	-
Earnings from equity investment	(0.2)	(0.1)	(0.0)	-	-	-	-	-	-	-	-	-
Deferred income taxes	(83.7)	10.6	(85.0)	(62.5)	-	-	-	-	-	-	-	-
Excess tax benefits from share-based compensation expense	-	-	-	-	-	-	-	-	-	-	-	-
Earnings from discontinued operation, net of tax	-	-	-	-	-	-	-	-	-	-	-	-
Others	(99.1)	(1.6)	1.5	(64.1)	-	-	-	-	-	-	-	-
Changes in operating assets and liabilities:												
Accounts receivable	(66.6)	(24.8)	(133.9)	(155.4)	(151.9)	(143.5)	(144.8)	(154.4)	(156.1)	(168.0)	(165.1)	(56.6)
Inventories	(219.1)	(202.3)	(278.0)	(454.2)	271.9	(214.0)	(213.6)	(227.1)	(227.8)	(250.4)	(237.7)	(72.2)
Accounts payable	105.4	100.2	144.1	562.0	(566.2)	125.0	124.8	132.7	133.1	146.3	138.9	42.2
Income taxes	37.2	(66.4)	8.1	(24.4)	(2.2)	(1.9)	(1.9)	(2.0)	(2.1)	(2.2)	(2.2)	(0.7)
Accrued compensation and benefits	(48.2)	32.6	33.5	170.7	110.2	95.0	95.8	102.2	103.3	111.2	109.3	37.4
Other operating net assets	32.8	(98.8)	(166.0)	(274.8)	(112.8)	(97.2)	(98.1)	(104.6)	(105.8)	(113.8)	(111.9)	(38.3)
Net cash provided by Discontinued Operations	-	-	-	-	-	-	-	-	-	-	-	-
Net cash from Operations	46.0	57.9	(93.8)	128.2	44.4	308.2	370.8	425.5	500.9	561.5	657.6	876.5
INVESTING ACTIVITIES:												
Additions to property, plant & equipment	(103.9)	(153.6)	(289.7)	(555.7)	(230.2)	(252.3)	(274.6)	(298.4)	(354.6)	(383.1)	(411.1)	(420.6)
Purchases/Proceeds from sale of business, net of cash	391.1	(5.3)	51.5	(7.5)	-	-	-	-	-	-	-	-
Purchase of equity investment	9.6	21.9	17.3	-	-	-	-	-	-	-	-	-
Other investing activities	(0.0)	(1.5)	(3.5)	75.8	-	-	-	-	-	-	-	-
Net cash from Investing Activities	296.8	(138.5)	(224.4)	(487.4)	(230.2)	(252.3)	(274.6)	(298.4)	(354.6)	(383.1)	(411.1)	(420.6)
FINANCING ACTIVITIES:												
Proceeds from issuance of convertible senior notes	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from borrowings under Credit Facility	1,342.2	224.6	315.3	39.3	-	-	-	-	-	-	-	-
Payments on borrowings	(1,727.8)	(183.0)	(475.8)	(13.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)
Purchases of treasury stock	-	-	2,000.0	-	-	-	-	-	-	-	-	-
Proceeds from exercises of stock options	21.3	8.8	21.7	2.0	-	-	-	-	-	-	-	-
Payments in satisfaction of employees' minimum tax obligations	(37.4)	(7.2)	(7.0)	(25.8)	-	-	-	-	-	-	-	-
Other financing activities	(8.5)	(0.6)	0.0	-	-	-	-	-	-	-	-	-
Net cash provided by financing activities	(421.3)	42.9	1,854.4	1.4	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)	(125.0)
FX Impact	35.4	61.6	24.3	(79.7)	-	-	-	-	-	-	-	-
Net increase (decrease) in cash and cash equivalents	(43.2)	23.9	1,560.5	(437.5)	(310.8)	(69.1)	(28.8)	2.1	21.2	53.4	121.5	330.8
Cash and cash equivalents at beg. of period	918.5	875.3	899.2	2,459.7	2,022.2	1,711.4	1,642.3	1,613.5	1,615.6	1,636.9	1,690.3	1,811.8
Cash and cash equivalents at end of period	875.3	899.2	2,459.7	2,022.2	1,711.4	1,642.3	1,613.5	1,615.6	1,636.9	1,690.3	1,811.8	2,142.7

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

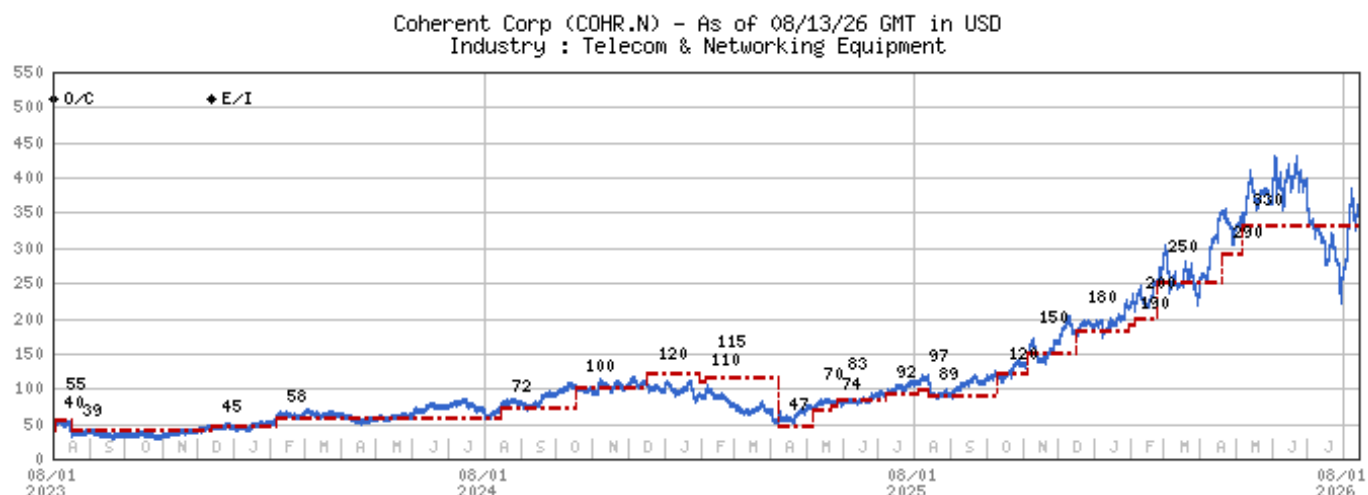
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	\$210.50
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	\$599.78
Ciena Corporation (CIEN.N)	E (10/10/2025)	\$432.05
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	\$123.88
Coherent Corp (COHR.N)	E (12/13/2023)	\$355.64
Corning Inc (GLW.N)	E (06/13/2024)	\$167.44
F5 Inc (FFIV.O)	E (04/12/2022)	\$422.95
Keysight Technologies Inc (KEYS.N)	O (07/13/2026)	\$354.50
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	\$932.47
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	\$469.74
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	\$378.37

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* Historical prices are not split adjusted.